



Fannie Mae HomeReady

Mortgage insurance providers may have additional restrictions not listed within this document. Please refer to each mortgage insurance company's website for complete eligibility details.

FIXED RATE CONFORMING

PRIMARY RESIDENCE – PURCHASE & RATE/TERM REFINANCE				
Property Type	Maximum LTV	Maximum CLTV/HCLTV	Minimum Credit Score	Underwriting Engine & Required Response
1-Unit Warrantable Condo PUD	97% ¹	105%/97% ²	NA	DU – Approve/Eligible
2-Unit	85%	85%		
3 to 4-Unit	75%	75%		

FIXED RATE HIGH BALANCE

PRIMARY RESIDENCE - PURCHASE & RATE/TERM REFINANCE				
Property Type	Maximum LTV	Maximum CLTV/HCLTV	Minimum Credit Score	Underwriting Engine & Required Response
1-Unit Warrantable Condo PUD	95%	105%/95% ²	NA	DU – Approve/Eligible
2-Unit	85%	85%		
3 to 4-Unit	75%	75%		

1. The LTV/CLTV is limited to 95% on rate/term refinances of High Balance and loans with a non-occupant borrower.
2. Traditional subordinate financing is limited to 97% CLTV, 95% for High Balance. Maximum CLTV allowed up to 105% for purchase transactions when using an approved community second program with a fixed rate.

PROGRAM SUMMARY

The HomeReady product is offered by Fannie Mae to help meet the diverse needs of today's buyers. It is designed for creditworthy, low to moderate income borrowers, with expanded eligibility in designated low-income communities.

PRODUCTS OFFERED

Product Name	Term
HomeReady 30-Year Fixed	30 years
HomeReady 20-Year Fixed	20 years
HomeReady 15-Year Fixed	15 years
HomeReady 10-Year Fixed	10 years
HomeReady High Balance 30-Year Fixed	30 years
HomeReady High Balance 20-Year Fixed	20 years
HomeReady High Balance 15-Year Fixed	15 years
HomeReady High Balance 10-Year Fixed	10 years

LOAN REGISTRATION

When registering HomeReady loans in Loantrac, select HomeReady for the product question: 'Is an affordable housing loan requested?' See the Income Limits section below for additional registration instructions.

LOAN AMOUNTS

MAXIMUM

The maximum conforming loan limits for 1 to 4-unit properties, including high balance loan limits. Refer to *Fannie Mae High Balance*, [Doc. #5346](#) for a complete list of eligible high-cost areas.

LOANS WITH AN LTV, CLTV, OR HCLTV 95.01 – 97%

All loans with an LTV, CLTV, or HCLTV between 95.01 – 97% must meet all of the following criteria in addition to all other HomeReady requirements:

- Purchase CLTV is restricted to 97% if subordinate lien is not an eligible community second loan. Eligible community second may have a CLTV up to 105%
- HCLTV is restricted to 97%
- Rate/term refinance CLTV is restricted to 97%.
- Subject loan must be a fixed-rate
- All borrowers must occupy the property, non-occupant co-borrowers are not eligible
- DU Approve/Eligible
- Reserves per DU
- For limited cash-out refinances, the lender must document that the existing loan being refinanced is owned (or securitized) by Fannie Mae. Using the look up tool located at knowyouroptions.com, a screenshot of the findings must be uploaded into the loan file.

ELIGIBLE BORROWERS

- All income-eligible occupant borrowers
- Occupying borrower(s) must not have an ownership interest in more than two financed residential properties, including the subject property, as of the Note Date.
- Non-occupant co-borrowers for loans with LTV, CLTV, or HCLTV less than or equal to 95%

ELIGIBLE PROPERTY TYPES

- 1 to 4-unit properties
- Fannie Mae-warrantable condominiums
- Planned Unit Development (PUD)
- Modular homes

INELIGIBLE PROPERTY TYPES

- Manufactured homes
- Cooperative properties

MINIMUM CREDIT SCORES

All scores must meet the credit score validation requirements outlined in the *Conventional Underwriting Guidelines*.

QUALIFYING RATE

The note rate is the qualifying rate.

QUALIFYING RATIOS

- Determined by Desktop Underwriter (DU)

UNDERWRITING

All loans must meet the parameters as set out in *Flagstar Bank's Residential Underwriting Guidelines*.

- Homeownership education is required for HomeReady purchase mortgage loans when all occupying borrowers are first-time homebuyers.** At least one borrower must complete the Framework Homeownership Education course. Please see the [Homeownership Education](#) section below. Homeownership Education is not required for rate/term refinance transactions.
- Loans must be submitted to DU and receive an *Approve/Eligible* response.
- All scores must meet the credit score validation requirements outlined in the *Conventional Underwriting Guidelines*. Manual underwriting, thin file, or non-traditional credit profiles are not eligible.
- Minimum borrower contribution requirements for purchase loans:

Minimum Borrower Contribution from Borrower Personal Funds				
Property Type	Standard HomeReady LTV/CLTV/HCLTV <=80%	Standard HomeReady LTV/CLTV/HCLTV >80%	HomeReady with any grant funds LTV/CLTV/HCLTV <=80%	HomeReady with any grant funds LTV/CLTV/HCLTV >80%
1-Unit	None		None	
2 to 4-Units	None	3%	None	5%

INCOME AND INCOME LIMITS

In determining whether a mortgage is eligible under the borrower income limits, the lender must count the income from all of the borrowers who will be listed on the mortgage note, to the extent that the income is considered in evaluating creditworthiness for the mortgage loan.

- 80% of AMI as confirmed by DU
- In order to obtain the proper income limit an 11 digit Federal Information Processing Standard (FIPS) code must be determined. The FIPS is comprised of the state code, county code, and census tract. Once the FIPS is determined the income limits can be confirmed.
 - For pre-registration FIPS determination go to:
 - The [HomeReady](#) page on the Fannie Mae website
 - Select the Income Eligibility Lookup Tool under the *Income Eligibility* section
- Loans registered in Loantrac with a standardized address, Loantrac will display the FIPS number, the corresponding Area Median Income, and the corresponding income percentage limits.
 - If the FIPS and income limits are not displaying in the Affordable Housing screen, verify the property address and select standardized when prompted.
- When DU is able to standardize the address, a message will be issued specifying the census tract used to determine the income limit to be applied to the loan.
- FIPS census tract must be compared to appraisal.
- In the event the address cannot be standardized:

- Determine the census tract via FFIEC link above
 - Document file with screenshot
 - Verify census tract with appraisal
- In the event a census tract number must be entered prior to the submission of the loan to underwriting, send an email underwritingsupport@flagstar.com with the following:
 - Census Tract Entry in the subject line
 - Seller ID#
 - Loan Number
 - Borrower Name
 - State Code, County Code, and Census Tract for the subject property
 - Underwriting Support enters Census Tract without a period (e.g. 2140.00 = 214000)
 - Underwriting Support ensures loan limits are displayed in the Affordable Housing screen prior to closing ticket
- Income other than the following listed below to be documented per standard Fannie Mae guidelines and/or DU
 - Boarder Income:
 - From a related or non-related party may be included for 1-unit properties as qualifying income up to an amount of 30% of the total qualifying income if the relative or non-relative has lived with (and paid rent to) the borrower for the last 12 months
 - The boarder must provide appropriate documentation to demonstrate a history of shared residency (such as a copy of a driver's license, bill, or bank statement that shows the boarder's address as being the same as the borrower's address)
 - Document the payment of rent for borrower for;
 - The last 12 months (through cancelled check, etc.)
 - At least 9 months of the most recent 12 months provided the rental income is averaged over a 12-month period.
 - Boarder may not be obligated on the mortgage loan. The boarder may also not have an ownership interest in the property
 - Rental Income from a 1-unit property with an accessory unit can be considered in qualifying the borrower; documentations and calculation in accordance with existing rental income guidelines
 - Boarder Income and non-borrower household income from the same person cannot be used.

ASSETS

- Document reserves/asset requirements per standard Fannie Mae guidelines and/or DU
- Source of funds:
 - Borrower must contribute to the transaction from his or her own funds (if required) the minimum amount listed in the Underwriting section towards down payment, closing costs, and/or prepaid expenses. Other funds required for the transaction may be obtained from any combination of the following sources:
 - Gifts per Flagstar [Conventional Underwriting Guidelines](#)
 - Eligible grants, see Flagstar *Gift/Grant Programs*, [Doc. #5935](#).
 - Community Seconds, see Flagstar *Community Seconds Programs*, [Doc. #5932](#)

- Net proceeds from a loan against the cash value or from the surrender of a life insurance policy
- Cash-on-hand may be an acceptable source of funds for down payment, closing costs, and prepaids in the following circumstances:
 - Not used towards reserve requirements
 - The following must be verified and documented:
 - The borrower customarily uses cash for expenses and that its usage and reasonableness, as well as the amount of funds saved is consistent with the borrower's previous payment practices
 - The lender must verify that funds for the down payment and closing costs exist in a financial institution account or an acceptable escrow account. Funds must be on deposit at the time of application, or no less than 30 days prior to closing
 - Borrower to provide written statement that discloses the source of funds and states that the funds have not been borrowed
 - The borrower's credit report and other verifications should indicate limited or no use of credit and limited or no depository relationship between the borrower and a financial institution
 - Data must be entered correctly prior to submitting loan to DU:
 - You must enter the amount of cash on hand as Cash on Hand in the Assets section of the online loan application
 - DU will use the Cash on Hand amount to calculate the available funds to close. However, cash-on-hand funds will not be used to calculate reserves. As an example, if a borrower needs \$2,000 to close and the amount of cash-on-hand is \$3,000, DU would count the cash-on-hand as sufficient funds to close; however, DU would not apply the remaining \$1,000 toward reserves
 - DU will return a message specific to the use of cash-on-hand

INTERESTED PARTY CONTRIBUTIONS

Interested party contributions include funds contributed by the property seller (directly or indirectly), builder, real estate agent/broker, or any other party with an interest in the real estate transaction. The mortgage lender may also be considered an interested party if it has an ownership relationship with the property seller or one of the other interested parties such as the builder or real estate broker/agent.

- Interested party contributions may be used exclusively to cover closing costs and prepaid expenses that exceed the borrower's minimum contribution requirement

INTERESTED PARTY CONTRIBUTION LIMITS			
CLTV	Up to 75%	75.01-90%	90.01-97%
Primary Residences	Maximum 9%	Maximum 6%	Maximum 3%

HOMEOWNERSHIP EDUCATION

Refer to [Conventional Underwriting Guidelines](#) for requirements.

SUBORDINATE FINANCING

Refer to the *Subordinate Financing* section of the [Conventional Underwriting Guidelines](#) for details. The use of financing obtained from the property seller is not allowed.

Eligible Community Seconds subsidized subordinate financing (up to 105% CLTV). Community Seconds may be eligible from a state, local or municipal authority or agency, a 501(c)(3) nonprofit corporation, a tax-exempt religious organization or the borrower's employer. Flagstar Bank must review all Community Second programs for eligibility. An official written description of the program (from the agency providing the funds), the loan documents used in connection with the financing (i.e. the Note, Mortgage/Deed of Trust, etc.), and any other written descriptive material must be submitted with the loan file. Subordinate financing program review generally requires three to five business days for approval.

TEMPORARY BUYDOWNS

Not eligible.

TEXAS REFINANCE LOANS

All refinance loans in Texas will be evaluated against the criteria outlined in our [Conventional Underwriting Guidelines](#), Texas Refinances section to determine if the loan must be originated under the requirements of Section 50(a)(6) of the Texas Constitution. Refer to *Texas Homestead 50(a)(6) Refinance - Correspondent*, [Doc. #5906](#), or *Texas Homestead 50(a)(6) Refinance - Broker*, [Doc. #5907](#), for eligibility, documentation/disclosure, and title/closing requirements.

SPECIAL FEATURE CODES

This loan program requires that certain special feature codes be attached to each loan file by the underwriter.

- All HomeReady: SFC 900
- HomeReady High Balance: SFC 808
- Other SFC as applicable

MORTGAGE INSURANCE

Mortgage insurance providers may have additional restrictions not listed within this document. Due to rapid changes within the industry, please refer to each mortgage insurance company's website for complete details.

Reduced MI coverage is not eligible.

All loans above 80% LTV require mortgage insurance coverage according to the following guidelines:

MORTGAGE INSURANCE GUIDELINES

Primary Residence – Purchase & Rate/Term Refinance		
LTV	30-Year	10, 15 & 20-Year
95.01-97%	25%	25%
90.01-95%		
85.01-90%		12%
80.01-85%	12%	6%

NEW YORK PROPERTIES

See [Conventional Underwriting Guidelines](#).

For Single Financed Mortgage Insurance (SFMI) and Lender Paid Mortgage Insurance (LPMI) eligibility see *Single Financed Mortgage Insurance – Lender Paid Mortgage Insurance*, [Doc. #5010](#).

STATE ELIGIBILITY

These products are available in the following states/territories with restrictions. The states/territories not listed are available without restrictions.

State/Territory	Restriction
New York	Refer to Mortgage Insurance section above for mortgage insurance coverage calculation requirements.
Puerto Rico	Ineligible
Texas	Refer to Texas Refinances section above.

PREPAYMENT PENALTY

There is no prepayment penalty.

CLOSING DOCUMENTATION – CORRESPONDENT TRANSACTIONS

Closing docs may be ordered through Flagstar's Web Based Closing Docs (WBCD) service available in Loantrac.

ALL LOANS

- Fannie Mae/Freddie Mac Uniform Security Instrument, 3000-series
- Standard title commitment with all applicable endorsements

IF APPLICABLE

- Fannie Mae/Freddie Mac multi-state Condo Rider, Form# 3140
- Fannie Mae/Freddie Mac multi-state PUD Rider, Form# 3150
- Fannie Mae/Freddie Mac multi-state 1-4 Family Rider, Form# 3170 (for 2 to 4-unit primary residences and all investment property mortgages)